

Q.1 The -----aggregate supply curve is ----- at the full-employment level.

- A. Long-run; vertical
- B. Long-run; horizontal
- C. Short run; convex
- D. Short run; steeper

Q.2 Investment causes the capital stock to----- while depreciation causes capital stock to -----

- A. Fall; fall.
- B. Rise; rise.
- C. Fall; rise.
- D. Rise; fall.

Q.3 In the Solow growth model with technological growth, $Y/L = y * E$ shows-----per worker.

- A. Technology
- B. Capital
- C. Output
- D. Labor

Q.4 A graph of all combinations of income (Y) and interest rate (r) that results in goods market equilibrium is called:

- A. IS curve
- B. LM curve
- C. Money demand curve
- D. Money supply curve

Q.5 In the IS-LM model, -----in government purchases can shift -----curve to the left.

- A. A decrease; LM
- B. An increase; IS
- C. An increase; LM
- D. A decrease; IS

Q.6 In the Solow growth model with technological growth rate, $y = Y / (L \times E)$ shows-----per effective worker.

- A. Labor
- B. Output
- C. Technology
- D. Capital

Q.7 In the Solow growth model with technological growth rate, $L \times E$ shows the number of effective-----

- A. Output per worker.
 - B. Workers.**
 - C. Saving per worker.
 - D. Capital per worker.
-

Q.8 In the short run equilibrium, if output is ----- level, then prices will rise.

- A. At the natural rate of unemployment
 - B. At the full employment
 - C. Below the full employment
 - D. Above the full employment**
-

Q.9 "Change in consumer confidence" is an example of:

- A. IS Shock**
 - B. Supply Shock
 - C. LM Shock
 - D. Production Shock
-

Q.10 In Solow model; production functions shows labor augmenting technological progress. Y is equal to:

- A. $F(K+1, L + K)$
 - B. $F(K+1, L+1 + E+1)$
 - C. $F(K, L \times E)$**
 - D. $F(K, L + E)$
-

Q.1 In economics a ----- is an -----event that affects an economy either positively or negatively.

- A. Debt; unexpected
 - B. Debt; expected
 - C. Shock; expected
 - D. Shock; unexpected**
-

Q.2 An increase in the -----shifts the aggregate demand (AD) curve to the -----.

- A. Money supply; left
 - B. Price level; right
 - C. Money supply; right**
 - D. Tax rate; right
-

Q.3 If marginal propensity to consume (MPC) is 0.7, the government purchases multiplier is-----

- A. 1/0.3.**
 - B. $1-0.7/-0.7$.
 - C. $1/0.7$.
 - D. $0.7/0.7$.
-

Q.4 Investment causes the capital stock to rise while ----- causes capital stock to fall.

- A. Discount rate
 - B. Inflation
 - C. Deflation
 - D. Depreciation**
-

Q.5 Under Mundell Fleming model a small open economy with a floating exchange rate, monetary expansion does all of the following EXCEPT:

- A. Increase the exchange rate.
 - B. Increase the equilibrium income level.
 - C. Decrease the exchange rate.**
 - D. Cause net exports to rise.
-

Q.6 Which of the following is an example of fiscal policy that will increase aggregate demand?

- A. A tax cut.**
 - B. A cut in government expenditure.
 - C. A cut in discount rate.
 - D. An increase in discount rate.
-

Q.7 Which of the following is an example of LM shock?

- A. Business expectations
 - B. Stock market boom
 - C. Consumer confidence
 - D. More ATM machine**
-

Q.8 In Solow model, national income identity in per worker terms:

- A. $Y = C + I + T$
 - B. $Y = C + I$
 - C. $y = c + i$**
 - D. $Y = C + I + S$
-

Q.9 With no population growth, the steady-state level of capital per worker will increase whenever the ----- rate -----

- A. Saving; decreases.
 - B. Consumption; decreases.
 - C. Saving; increases.**
 - D. Tax; increases.
-

Q.10 Which one of the following is correct?

- A. Change in capital stock = (Investment – Depreciation) *100
 - B. Change in capital stock = Investment – Depreciation**
 - C. Change in capital stock = Investment – Saving
 - D. Change in capital stock = Investment + Depreciation
-

Q.1 Macro-economic disequilibrium exists when aggregate supply is -----

- A. equal to aggregate demand.
- B. equal to aggregate investment.
- C. not equal to aggregate demand.**
- D. not equal to aggregate investment.

Q.2 In Solow growth model, the slope of production function $f(k^*)$ is:

- A. Investment (I^*).
- B. Labor (L^*).
- C. Capital (K^*).
- D. Marginal product of capital (MPK).**

Q.3 In the Solow model with technological progress, the steady state growth rate of output per effective worker is -----

- A. $n + g$.
- B. Zero.**
- C. One.
- D. $n - g$.

Q.4 If labor productivity per week is 100 units and there are 5 employees. What is the total output?

- A. 20 units
- B. 100 units
- C. 500 units**
- D. 105 units

Q.5 In the -----model, capital exhibits diminishing returns. In a basic ----- model, capital exhibits constant returns.

- A. Solow growth; Population growth
- B. Solow growth; endogenous growth**
- C. Endogenous growth; Solow growth
- D. Population growth; Endogenous growth

Q.6 In the short run equilibrium, if output is -----level, then prices will fall.

- A. Above the natural rate of unemployment
- B. At the full employment
- C. Below the full employment**
- D. Above the unemployment

Q.7 In the Solow growth model with technological growth rate, $y = Y / (L \times E)$ shows-----per effective worker.

- A. Output**
 - B. Capital
 - C. Technology
 - D. Labor
-

Q.8 Suppose labor force (L) = 1000 in a year and population is growing at 1% per year then change in labor force will be-----

- A. 1.
 - B. 10%.
 - C. 10.**
 - D. 0.11.
-

Q.9 According to the prediction of Solow model, countries with higher population growth rates will have:

- A. Higher levels of capital and income per worker in the long run.
 - B. Higher levels of capital and birth rate in the short run.
 - C. Lower levels of investment and income in the short run.
 - D. Lower levels of capital and income per worker in the long run.**
-

Q.10 The important determinant of the steady state ratio of capital to labor is-----

- A. Foreign aid.
 - B. Saving rate.**
 - C. Labor force.
 - D. Output.
-

Q.1 In Solow model,national income identity in per worker terms:

- A. $y = c + i$**
 - B. $Y = C + I$
 - C. $Y = C + I + S$
 - D. $Y = C + I + T$
-

Q.2 In the IS-LM model, an increase in money supply shifts -----

- A. LM curve to the right.**
 - B. IS curve to the left.
 - C. LM curve to the left.
 - D. IS curve to the right.
-

Q.3 Suppose labor force (L) = 1000 in year one and population is growing at 1% per year then what will be the labor force in year two?

- A. 1010**
 - B. 100
 - C. 10
 - D. 1110
-

Q.4 The steady state value of "k" that -----is called golden rule of capital stock and is denoted by "k*".

- A. Minimize consumption
 - B. Maximizes depreciation
 - C. Maximize saving
 - D. Maximizes consumption**
-

Q.5 An increase in the money supply will shift -----

- A. LM curve downward (to the right).**
 - B. LM curve upward (to the left).
 - C. IS curve to the right.
 - D. IS curve to the left.
-

Q.6 In the steady state -----does not change because investment equal to-----

- A. Investment; saving.
 - B. Capital; saving.
 - C. Investment; consumption.
 - D. Capital; depreciation.**
-

Q.7 In the IS-LM model, -----in government purchases can shift -----curve to the left.

- A. A decrease; LM
 - B. A decrease; IS**
 - C. An increase; LM
 - D. An increase; IS
-

Q.8 Which of the following is an example of LM shock?

- A. Consumer confidence
 - B. Stock market boom
 - C. More ATM machine**
 - D. Business expectations
-

Q.9 In Solow model consumption per person is equal to -----

- A. $(1-s)y$.**
 - B. $(1*s)y$.
 - C. $(1+s)y$.
 - D. sy .
-

Q.10 In basic endogenous growth theory capital exhibits-----return.

- A. Increasing
 - B. Decreasing
 - C. zero
 - D. constant**
-

Q.1 In the short run equilibrium, if output is ----- level, then prices will rise.

- A. At the full employment
 - B. Above the full employment**
 - C. Below the full employment
 - D. At the natural rate of unemployment
-

Q.2 In IS-LM framework, an expansionary fiscal policy shifts-----curve to the -----

- A. LM; left.
 - B. LM; right.
 - C. IS; left.
 - D. IS; right.**
-

Q.3 IS curve is -----

- A. Negatively sloped.**
 - B. Horizontal.
 - C. Positively sloped.
 - D. Vertical.
-

Q.4 In the solow model there is -----type of capital.

- A. One**
 - B. Two
 - C. Four
 - D. Three
-

Q.5 A decrease in tax that results from expansionary -----policy causes interest rate to -----

- A. Fiscal; rise.**
 - B. Fiscal; fall
 - C. Monetary; rise.
 - D. Monetary; fall.
-

Q.6 In Solow growth model, the slope of production function $f(k^*)$ is:

- A. Marginal product of capital (MPK).**
 - B. Capital (K^*).
 - C. Labor (L^*).
 - D. Investment (I^*).
-

Q.7 Suppose labor force (L) = 1000 in a year and population is growing at 1% per year then change in labor force will be-----

- A. 0.11.
- B. 10.**
- C. 1.
- D. 10%.

Q.8 In the IS-LM model, -----in government purchases can shift -----curve to the left.

- A. A decrease; LM
- B. A decrease; IS**
- C. An increase; LM
- D. An increase; IS

Q.9 The major difficulty for underdeveloped country to measure the economic growth is:

- A. Lack of supply of empirical data.
- B. Lack of skilled manpower.
- C. All of the given options.**
- D. Preoccupation with other more important problems.

Q.10 Macro-economic disequilibrium exists when aggregate supply is -----

- A. equal to aggregate demand.
- B. equal to aggregate investment.
- C. not equal to aggregate demand.**
- D. not equal to aggregate investment.

Q.1 In the IS-LM model, -----in government purchases can shift -----curve to the left.

- A. An increase; LM
- B. A decrease; IS**
- C. A decrease; LM
- D. An increase; IS

Q.2 In the Solow model with technological progress, the steady state growth rate of output per effective worker is -----

- A. Zero.**
- B. $n - g$.
- C. One.
- D. $n + g$.

Q.3 In the solow model with technological progress, the steady state growth rate of output per worker is -----

- A. One.
- B. $n + g$.
- C. g .**
- D. Zero.

Q.4 If marginal propensity to consume (MPC) is 0.9, the government purchases multiplier is-----

- A. 5
- B. 2
- C. 1.11
- D. 10**

Q.5 Due to a positive demand shock, aggregate demand curve will:

- A. Shift towards right.**
- B. Become vertical.
- C. Remain the same.
- D. Shift towards left.

Q.6 Suppose the economy of China with population growth but no technological change. Which of the following will generate a higher steady state growth rate of total output?

- A. Higher saving rate.
- B. Higher birth rate.**
- C. Higher hoarding rate.
- D. Higher inflation rate.

Q.7 Currency exchange rate which is determined by free market forces is called -----

- A. Exchange rate.
 - B. Floating exchange rate.**
 - C. Pegged exchange rate.
 - D. Fixed exchange rate.
-

Q.8 An increase in the money supply will shift -----

- A. LM curve downward (to the right).**
 - B. IS curve to the right.
 - C. IS curve to the left.
 - D. LM curve upward (to the left).
-

Q.9 A graph of all combinations of income (Y) and interest rate (r) that results in goods market equilibrium is called:

- A. Money demand curve
 - B. Money supply curve
 - C. IS curve**
 - D. LM curve
-

Q.10 According to the prediction of Solow model, countries with higher population growth rates will have:

- A. Lower levels of investment and income in the short run.
 - B. Higher levels of capital and birth rate in the short run.
 - C. Lower levels of capital and income per worker in the long run.**
 - D. Higher levels of capital and income per worker in the long run.
-

Q.1 The two important factors of production are-----

- A. Labor and electricity.
 - B. Land and goods.
 - C. Machine and investment.
 - D. Labor and capital.**
-

Q.2 In economics a ----- is an -----event that affects an economy either positively or negatively.

- A. Shock; unexpected**
 - B. Debt; expected
 - C. Shock; expected
 - D. Debt; unexpected
-

Q.3 In the short run equilibrium, if output is -----level, then prices will fall.

- A. Below the full employment**
 - B. At the full employment
 - C. Above the natural rate of unemployment
 - D. Above the unemployment
-

Q.4 The aggregate demand curve shows the relationship between the price level and the:

- A. Income.
 - B. Quantity of output demanded.**
 - C. Investment.
 - D. Quantity of output supplied.
-

Q.5 Due to a negative demand shock, aggregate demand curve will:

- A. Shift towards right.
 - B. Remain the same.
 - C. Shift towards left.**
 - D. Become vertical.
-

Q.6 Change in capital stock is equal to investment minus-----

- A. National investment.
 - B. Saving.**
 - C. Stock.
 - D. Depreciation.
-

Q.7 Which of the following is an example of LM shock?

- A. Consumer confidence
 - B. More ATM machine**
 - C. Stock market boom
 - D. Business expectations
-

Q.8 The important determinant of the steady state ratio of capital to labor is-----

- A. Saving rate.**
 - B. Output.
 - C. Labor force.
 - D. Foreign aid.
-

Q.9 Which of the following is an example of adverse supply shock?

- A. Decrease in price of labor
 - B. Flood**
 - C. Decrease in price of capital
 - D. Good weather
-

Q.10 Under Mundell Fleming model a small open economy with a floating exchange rate, monetary expansion does all of the following EXCEPT:

- A. Increase the exchange rate.
 - B. Decrease the exchange rate.**
 - C. Increase the equilibrium income level.
 - D. Cause net exports to rise.
-

Q.1 If marginal propensity to consume (MPC) is 0.9, the government purchases multiplier is-----

- A. 2
- B. 1.11
- C. 10
- D. 5**

Q.2 Which one of the following is correct formula of government purchases multiplier?

- A. $1 / (1 - MPC)$
- B. $1 / (1 - MPS)$**
- C. $(1 - MPS) / (1 - MPC)$
- D. $-MPC / (1 - MPC)$

Q.3 In the Solow growth model with technological growth, $k = K / (L \times E)$ shows-----per effective worker.

- A. Capital**
- B. Output
- C. Labor
- D. Output & labor

Q.4 Nominal exchange rate is denoted by-----

- A. E.
- B. r^* .
- C. P^* .
- D. e.**

Q.5 In Solow model consumption per person is equal to -----

- A. $s y$.
- B. $(1 + s)y$.
- C. $(1 - s)y$.**
- D. $(1 * s)y$.

Q.6 Which of the following is an example of fiscal policy that will increase aggregate demand?

- A. A tax cut.**
- B. A cut in discount rate.
- C. A cut in government expenditure.
- D. An increase in discount rate.

Q.7 If the stock of physical capital remains same but population increases then labor productivity will -----

- A. remain same.
 - B. increase.
 - C. decrease.**
 - D. be zero.
-

Q.8 Which one of the following is correct?

- A. Change in capital stock = Investment – Saving
 - B. Change in capital stock = Investment – Depreciation**
 - C. Change in capital stock = Investment + Depreciation
 - D. Change in capital stock = (Investment – Depreciation) *100
-

Q.9 Suppose labor force (L) = 1000 in year one and population is growing at 1% per year then what will be the labor force in year two?

- A. 10
 - B. 1010**
 - C. 1110
 - D. 100
-

Q.10 Investment causes the capital stock to rise while ----- causes capital stock to fall.

- A. Depreciation**
 - B. Discount rate
 - C. Inflation
 - D. Deflation
-

Professional Online Academy Vu Topper RM



ECO-403 Macroeconomics Update MCQ'S Final Term By Vu Topper RM



Follow Us on YouTube:
[@vutopperrm](https://www.youtube.com/@vutopperrm)

For More Help Contact What's app Me!!!
Number's = # 0322-4021365, 0316-4980094

[Rizwan Manzoor](#)
[Vu Topper RM](#)

وَتَعَزَّ مَنْ تَشَاءُ وَتَذِلَّ مَنْ تَشَاءُ



Our Services

- Assignments
- Quiz & Gdb's
- LMS Handling
- Online Classes
- Lectures Views
- Project Handling
- Important Notes

Result

85% To
100%

پہلے ہمارے سٹوڈنٹس کے رزلٹ دیکھیں
پھر ہم سے سروسز لیں



www.youtube.com/@vutopperrm



Contact us

0322 4021365
0316 4980094

بري صحبت سے تہائی بہتر ہے اور تہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Question No:1**(Marks:1)****Vu-Topper RM**

In Solow model, national income identity in per worker terms:

- A. $Y = C + I + S$
- B. $Y = C + I$**
- C. $y = c + i$
- D. $Y = C + I + T$

Question No:2**(Marks:1)****Vu-Topper RM**

According to aggregate demand (AD) & aggregate supply (AS) analysis; the favorable supply shock will -----output-----inflation and increase employment.

- A. Increase; Increase**
- B. Decrease; Decrease
- C. Increase; Decrease
- D. Decrease; Increase

Question No:3**(Marks:1)****Vu-Topper RM**

Due to a positive demand shock, aggregate demand curve will:

- A. Shift towards right.**
- B. Remain the same.
- C. Become vertical.
- D. Shift towards left.

Question No:4**(Marks:1)****Vu-Topper RM**

In the Solow growth model with technological growth, $k = K / (L \times E)$ shows-----per effective worker.

- A. Labor
- B. Output
- C. Output & labor
- D. Capital**

بري صحبت سے تنہائی بہتر ہے اور تنہائی سے نيك صحبت بہتر ہے

For More Help Contact What's app 03224021365

Question No:5

(Marks:1)

Vu-Topper RM

When tax decreases then the disposable income (Y_d) -----and consumption-----

A. Increases; increases

B. Increases; decrease

C. Decreases; increases

D. Decreases; decreases

Question No:6

(Marks:1)

Vu-Topper RM

In the steady state -----does not change because investment equal to-----

A. Capital; saving.

B. Capital; depreciation.

C. Investment; saving.

D. Investment; consumption.

Question No:7

(Marks:1)

Vu-Topper RM

Investment causes the capital stock to rise while ----- causes capital stock to fall.

A. Depreciation

B. Deflation

C. Inflation

D. Discount rate

Question No:8

(Marks:1)

Vu-Topper RM

IS curve is -----

A. Horizontal.

B. Vertical.

C. Positively sloped.

D. Negatively sloped.

بري صحبت سے تھائی بہتر ہے اور تھائی سے نيك صحبت بہتر ہے

For More Help Contact What's app 03224021365

Question No:9

(Marks:1)

Vu-Topper RM

An expansionary monetary policy shifts -----to the-----

A. LM curve; right.

B. LM curve; left.

C. IS curve; right.

D. IS curve; left.

Question No:10

(Marks:1)

Vu-Topper RM

The two important factors of production are-----

A. Labor and capital.

B. Machine and investment.

C. Labor and electricity.

D. Land and goods.

Question No:11

(Marks:1)

Vu-Topper RM

If government decreases the tax it would -----income and -----the consumption.

A. Decrease, increase

B. Increase, decrease

C. Decrease, decrease

D. Increase, increase

Question No:12

(Marks:1)

Vu-Topper RM

When tax increases then disposable income (Y_d) -----and consumption-----

A. Increases; increases

B. Increases; decreases.

C. Decreases; decreases.

D. Decreases; increases

بري صحبت سے تنہائی بہتر ہے اور تنہائی سے نيك صحبت بہتر ہے

For More Help Contact What's app 03224021365

Question No:13

(Marks:1)

Vu-Topper RM

Change in capital stock is equal to----- minus depreciation.

- A. Saving
- B. National saving
- C. Stock
- D. Investment**

Question No:14

(Marks:1)

Vu-Topper RM

The sticky wage model of the aggregate supply says that when the -----
-- less than expected price, the real wage raises so employment -----

- A. Expected price level; rises.
- B. Price level; falls.
- C. Price level; rises.
- D. Expected price level; falls.**

Question No:15

(Marks:1)

Vu-Topper RM

In the -----model, capital exhibits diminishing returns. In a basic ---
----- model, capital exhibits constant returns.

- A. Endogenous growth; Solow growth
- B. Solow growth; endogenous growth**
- C. Solow growth; Population growth
- D. Population growth; Endogenous growth

Question No:16

(Marks:1)

Vu-Topper RM

Keynes consumption function is -----.

- A. $C = a - cY_d$
- B. $C = a + cY_d$**
- C. $C = a - c(Y_d - Y)$
- D. $C = a * cY(Y - T)$

بري صحبت سے تنہائی بہتر ہے اور تنہائی سے نيك صحبت بہتر ہے

For More Help Contact What's app 03224021365

Question No:17

(Marks:1)

Vu-Topper RM

In the Mundell Fleming model, LM* curve equation is-----

- A. $M/P = L(r^* + Y)$.**
- B. $M/P = L + (r^* + Y)$.
- C. $M/P = L(r^* - Y)$.
- D. $M/P = L(r^*, Y)$

Question No:18

(Marks:1)

Vu-Topper RM

Nominal wage = target real wage multiply by-----

- A. Labor.
- B. Quantity.
- C. Price.
- D. Expected price level.**

Question No:19

(Marks:1)

Vu-Topper RM

A graph of all combinations of income (Y) and interest rate (r) that results in goods market equilibrium is called:

- A. Money demand curve
- B. LM curve
- C. IS curve**
- D. Money supply curve

Question No:20

(Marks:1)

Vu-Topper RM

Due to decrease in money supply, aggregate demand curve will:

- A. Become vertical.
- B. Shift towards right.
- C. Remain the same.
- D. Shift towards left**

بري صحبت سے تھائی بہتر ہے اور تھائی سے نيك صحبت بہتر ہے

For More Help Contact What's app 03224021365

Question No:21

(Marks:1)

Vu-Topper RM

In macro-economics the word aggregate means-----

- A. Individual.
- B. One.
- C. Totals.**
- D. Particular.

Question No:22

(Marks:1)

Vu-Topper RM

In the solow model with technological progress, the steady state growth rate of output per worker is -----

- A. $n + g$.**
- B. G.
- C. Zero.
- D. One.

Question No:23

(Marks:1)

Vu-Topper RM

If labor productivity per week is 100 units and there are 5 employees.
What is the total output?

- A. 100 units
- B. 105 units
- C. 500 units**
- D. 20 units

Question No:24

(Marks:1)

Vu-Topper RM

Investment causes the capital stock to----- while depreciation causes capital stock to -----

- A. Fall; rise.
- B. Rise; rise.
- C. Fall; fall.
- D. Rise; fall.**

بري صحبت سے تنہائی بہتر ہے اور تنہائی سے نيك صحبت بہتر ہے

For More Help Contact What's app 03224021365

Question No:25

(Marks:1)

Vu-Topper RM

The shape of short run aggregate supply curve (SRAS) is -----

- A. Convex to the origin.
- B. Concave to the origin.**
- C. Horizontal.
- D. Vertical.

Question No:26

(Marks:1)

Vu-Topper RM

Suppose the price of product "X" increases due to increase in price of raw material. This is the example of -----

- A. Hyperinflation.
- B. Demand pull inflation.
- C. Cost push inflation.**
- D. Disinflation.

Question No:27

(Marks:1)

Vu-Topper RM

The policy actions aimed to reduce the severity of ----- economic fluctuations is known as-----

- A. Long run; Trade policy.
- B. Short run; Stabilization policy.**
- C. Short run; Fiscal policy.
- D. Long run; Monetary policy.

Question No:28

(Marks:1)

Vu-Topper RM

In the Solow model with technological progress, the steady state growth rate of capital per effective worker is -----

- A. $n + g$.
- B. Zero.**
- C. One.
- D. $n - g$.

بري صحبت سے تھائی بہتر ہے اور تھائی سے نيك صحبت بہتر ہے

For More Help Contact What's app 03224021365

Question No:29

(Marks:1)

Vu-Topper RM

Currency exchange rate which is determined by free market forces is called -----

- A. Exchange rate.
- B. Floating exchange rate.**
- C. Pegged exchange rate.
- D. Fixed exchange rate.

Visit My YouTube Channel
For Subjective and More
Important Files
Channel Name = #VuTopperRM

برى صحبت سے تٲهائى بهتر هے اور تٲهائى سے نيك صحبت بهتر هے

For More Help Contact What's app 03224021365

Professional Online Academy Vu Topper RM



ECO-403 Macroeconomics Update MCQ'S Final Term By Vu Topper RM



Follow Us on YouTube:
[@vutopperrm](https://www.youtube.com/@vutopperrm)

For More Help Contact What's app Me!!!
Number's = # 0322-4021365, 0316-4980094

[Rizwan Manzoor](#)
[Vu Topper RM](#)

وَتَعَزَّ مَنْ تَشَاءُ وَتَذِلَّ مَنْ تَشَاءُ



Our Services

- Assignments
- Quiz & Gdb's
- LMS Handling
- Online Classes
- Lectures Views
- Project Handling
- Important Notes

Professional Online Academy

Result
85% To
100%

پہلے ہمارے سٹوڈنٹس کے رزلٹ دیکھیں
پھر ہم سے سروسز لیں



www.youtube.com/@vutopperrm



Contact us

0322 4021365
0316 4980094

بري صحبت سے تہائی بہتر ہے اور تہائی سے نیک صحبت بہتر ہے

For More Help Contact What's app 03224021365

Question No:1**(Marks:1)****Vu-Topper RM**

In Solow model, national income identity in per worker terms:

- A. $Y = C + I + S$
- B. $Y = C + I$**
- C. $y = c + i$
- D. $Y = C + I + T$

Question No:2**(Marks:1)****Vu-Topper RM**

According to aggregate demand (AD) & aggregate supply (AS) analysis; the favorable supply shock will -----output-----inflation and increase employment.

- A. Increase; Increase**
- B. Decrease; Decrease
- C. Increase; Decrease
- D. Decrease; Increase

Question No:3**(Marks:1)****Vu-Topper RM**

Due to a positive demand shock, aggregate demand curve will:

- A. Shift towards right.**
- B. Remain the same.
- C. Become vertical.
- D. Shift towards left.

Question No:4**(Marks:1)****Vu-Topper RM**

In the Solow growth model with technological growth, $k = K / (L \times E)$ shows-----per effective worker.

- A. Labor
- B. Output
- C. Output & labor
- D. Capital**

بري صحبت سے تنہائی بہتر ہے اور تنہائی سے نيك صحبت بہتر ہے

For More Help Contact What's app 03224021365

Question No:5

(Marks:1)

Vu-Topper RM

When tax decreases then the disposable income (Y_d) -----and consumption-----

A. Increases; increases

B. Increases; decrease

C. Decreases; increases

D. Decreases; decreases

Question No:6

(Marks:1)

Vu-Topper RM

In the steady state -----does not change because investment equal to-----

A. Capital; saving.

B. Capital; depreciation.

C. Investment; saving.

D. Investment; consumption.

Question No:7

(Marks:1)

Vu-Topper RM

Investment causes the capital stock to rise while ----- causes capital stock to fall.

A. Depreciation

B. Deflation

C. Inflation

D. Discount rate

Question No:8

(Marks:1)

Vu-Topper RM

IS curve is -----

A. Horizontal.

B. Vertical.

C. Positively sloped.

D. Negatively sloped.

بري صحبت سے تھائی بہتر ہے اور تھائی سے نيك صحبت بہتر ہے

For More Help Contact What's app 03224021365

Question No:9

(Marks:1)

Vu-Topper RM

An expansionary monetary policy shifts -----to the-----

A. LM curve; right.

B. LM curve; left.

C. IS curve; right.

D. IS curve; left.

Question No:10

(Marks:1)

Vu-Topper RM

The two important factors of production are-----

A. Labor and capital.

B. Machine and investment.

C. Labor and electricity.

D. Land and goods.

Question No:11

(Marks:1)

Vu-Topper RM

If government decreases the tax it would -----income and -----the consumption.

A. Decrease, increase

B. Increase, decrease

C. Decrease, decrease

D. Increase, increase

Question No:12

(Marks:1)

Vu-Topper RM

When tax increases then disposable income (Y_d) -----and consumption-----

A. Increases; increases

B. Increases; decreases.

C. Decreases; decreases.

D. Decreases; increases

بري صحبت سے تنہائی بہتر ہے اور تنہائی سے نيك صحبت بہتر ہے

For More Help Contact What's app 03224021365

Question No:13

(Marks:1)

Vu-Topper RM

Change in capital stock is equal to----- minus depreciation.

- A. Saving
- B. National saving
- C. Stock
- D. Investment**

Question No:14

(Marks:1)

Vu-Topper RM

The sticky wage model of the aggregate supply says that when the -----
-- less than expected price, the real wage raises so employment -----

- A. Expected price level; rises.
- B. Price level; falls.
- C. Price level; rises.
- D. Expected price level; falls.**

Question No:15

(Marks:1)

Vu-Topper RM

In the -----model, capital exhibits diminishing returns. In a basic ---
----- model, capital exhibits constant returns.

- A. Endogenous growth; Solow growth
- B. Solow growth; endogenous growth**
- C. Solow growth; Population growth
- D. Population growth; Endogenous growth

Question No:16

(Marks:1)

Vu-Topper RM

Keynes consumption function is -----.

- A. $C = a - cY_d$
- B. $C = a + cY_d$**
- C. $C = a - c(Y_d - Y)$
- D. $C = a * cY(Y - T)$

بري صحبت سے تنہائی بہتر ہے اور تنہائی سے نيك صحبت بہتر ہے

For More Help Contact What's app 03224021365

Question No:17

(Marks:1)

Vu-Topper RM

In the Mundell Fleming model, LM* curve equation is-----

- A. $M/P = L(r^* + Y)$.**
- B. $M/P = L + (r^* + Y)$.
- C. $M/P = L(r^* - Y)$.
- D. $M/P = L(r^*, Y)$

Question No:18

(Marks:1)

Vu-Topper RM

Nominal wage = target real wage multiply by-----

- A. Labor.
- B. Quantity.
- C. Price.
- D. Expected price level.**

Question No:19

(Marks:1)

Vu-Topper RM

A graph of all combinations of income (Y) and interest rate (r) that results in goods market equilibrium is called:

- A. Money demand curve
- B. LM curve
- C. IS curve**
- D. Money supply curve

Question No:20

(Marks:1)

Vu-Topper RM

Due to decrease in money supply, aggregate demand curve will:

- A. Become vertical.
- B. Shift towards right.
- C. Remain the same.
- D. Shift towards left**

بري صحبت سے تھائی بہتر ہے اور تھائی سے نيك صحبت بہتر ہے

For More Help Contact What's app 03224021365

Question No:21

(Marks:1)

Vu-Topper RM

In macro-economics the word aggregate means-----

- A. Individual.
- B. One.
- C. Totals.**
- D. Particular.

Question No:22

(Marks:1)

Vu-Topper RM

In the solow model with technological progress, the steady state growth rate of output per worker is -----

- A. $n + g$.**
- B. G.
- C. Zero.
- D. One.

Question No:23

(Marks:1)

Vu-Topper RM

If labor productivity per week is 100 units and there are 5 employees. What is the total output?

- A. 100 units
- B. 105 units
- C. 500 units**
- D. 20 units

Question No:24

(Marks:1)

Vu-Topper RM

Investment causes the capital stock to----- while depreciation causes capital stock to -----

- A. Fall; rise.
- B. Rise; rise.
- C. Fall; fall.
- D. Rise; fall.**

بري صحبت سے تنہائی بہتر ہے اور تنہائی سے نيك صحبت بہتر ہے

For More Help Contact What's app 03224021365

Question No:25

(Marks:1)

Vu-Topper RM

The shape of short run aggregate supply curve (SRAS) is -----

- A. Convex to the origin.
- B. Concave to the origin.**
- C. Horizontal.
- D. Vertical.

Question No:26

(Marks:1)

Vu-Topper RM

Suppose the price of product "X" increases due to increase in price of raw material. This is the example of -----

- A. Hyperinflation.
- B. Demand pull inflation.
- C. Cost push inflation.**
- D. Disinflation.

Question No:27

(Marks:1)

Vu-Topper RM

The policy actions aimed to reduce the severity of ----- economic fluctuations is known as-----

- A. Long run; Trade policy.
- B. Short run; Stabilization policy.**
- C. Short run; Fiscal policy.
- D. Long run; Monetary policy.

Question No:28

(Marks:1)

Vu-Topper RM

In the Solow model with technological progress, the steady state growth rate of capital per effective worker is -----

- A. $n + g$.
- B. Zero.**
- C. One.
- D. $n - g$.

بري صحبت سے تھائی بہتر ہے اور تھائی سے نيك صحبت بہتر ہے

For More Help Contact What's app 03224021365

Question No:29

(Marks:1)

Vu-Topper RM

Currency exchange rate which is determined by free market forces is called -----

- A. Exchange rate.
- B. Floating exchange rate.**
- C. Pegged exchange rate.
- D. Fixed exchange rate.

Visit My YouTube Channel
For Subjective and More
Important Files
Channel Name = #VuTopperRM

برى صحت سے تھائی بہتر ہے اور تھائی سے نیک صحت بہتر ہے

For More Help Contact What's app 03224021365